

Iodized Salt (Production and Sales) Act, 1998

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Chapter-1

Preliminary

1. Short Title and Commencement: (1) This Act may be called the "Iodized Salt (Production and Sale Distribution) Act, 2055".

(2) This Act shall come into force in the area specified by the Government of Nepal by notification in the Nepal Gazette from the date so specified. 2. Definitions: Unless the subject or context otherwise requires, -

(a) "Iodized Salt" means salt containing at least ninety-four percent sodium chloride in powder or granular solid state, white, pale pink or brown in colour, visibly unmixed with soil, lumps, stones and extraneous matter or filth, and having the quality determined under Section 15.

(b) "License" means a license granted under Section 7 for the production, import, supply or sale distribution of iodized salt.

(c) "Committee" means the Iodine Deficiency Disorders Elimination Committee constituted under Section 12.

(d) "Production" means the work of producing iodized salt by mixing iodine into salt that does not contain iodine.

(e) "Producer" means a licensed person or institution engaged in production directly, or through an agent, or by contract, or through a controlled person under contract.

(f) "Institution" means a firm, company or organized institution registered in accordance with prevailing law.

(g) "Import" means the act of importing iodized salt or salt that does not contain iodine deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066..

(h) "Importer" means a person or institution licensed to import iodized salt.

(i) "Supply" means the act of delivering iodized salt to a distributor or consumer.

(j) "Supplier" means a person or institution licensed to supply iodized salt.

(k) "Sale Distribution" means providing information services, promoting, advertising, distributing samples of iodized salt on behalf of the producer, and any other activity relating to bringing such iodized salt to the market.

(l) "Distributor" means a person engaged in the wholesale or retail sale distribution of iodized salt.

(m) "Inspector" means an inspector appointed or designated under subsection (1) of Section 18.

(n) "Label" means a tag, mark, picture or other descriptive matter written, printed, lithographed, marked, embossed, contained or otherwise displayed on the package in which iodized salt is packed.

(o) "Sample" means a small quantity of iodized salt prepared for testing or for trade promotion.

(p) "Prescribed" or "as prescribed" means prescribed or as prescribed in the rules made under this Act.

Chapter-2

Provisions Relating to License

3. Not to Import, Purchase or Sell Salt Not Containing Iodine: No person shall, without obtaining approval as prescribed by the Committee, import, purchase or sell salt that does not contain iodine within Nepal deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066.. 4.

License Must be Obtained to Produce, Import, Supply and Sell Distribute Iodized Salt: Any person or institution desiring to produce, import, supply and sell distribute iodized salt shall obtain a license in accordance with this Act. 5. Application for License: A person or institution desiring to obtain a license under Section 4 shall submit an application to the Committee in the prescribed format along with the prescribed fee. 6. Inquiry for License: Upon receipt of an application under Section 5, the Committee shall conduct necessary inquiry into the following matters:- (a) Technical aspects and capacity required for the production, import, supply and sale distribution of iodized salt, (b) Financial standing of the applicant, (c) Feasibility study report relating to the import of salt not containing iodine for production purposes, if applicable, (d) Feasibility study report and related necessary documents, if the imported iodized salt is to be supplied and sold distributed, (e) Area for supply and sale distribution of iodized salt, (f) Other necessary matters as prescribed. 7. Granting License: If, upon inquiry under Section 6, the applicant appears capable of producing, importing, supplying and selling distributing iodized salt, the Committee shall grant a license to the applicant in the prescribed format. 8. Duration and Renewal of License: (1) Except where the license is earlier cancelled under Section 11, the duration of a production license shall be a maximum of fifteen years and the duration of an import, supply and sale distribution license shall be a maximum of three years. (2) An application for renewal of license shall be submitted to the Committee in the prescribed format along with the prescribed fee at least six months before the expiry of the period under subsection (1). (3) If no application for renewal of license is submitted within the period under subsection (2), the license shall not be renewed and the license whose period has expired shall be deemed automatically cancelled. 9. License Not to be Granted: If a person or institution has been granted a license for a specified area for the production, import, supply and sale distribution of iodized salt, no other person or institution shall be granted a license for the production, import, supply and sale distribution of iodized salt in the same area for the duration specified in such license.

Provided that, if the Committee comes to know that the licensed person or institution is unable to produce, import, supply and sell distribute iodized salt according to demand in the area specified in the license, the Committee may, upon conducting an inquiry as prescribed and if it finds the matter reasonable, grant a license to any other person or institution to produce, import, supply and sell distribute iodized salt in that area. 10. Matters to be Observed by the Licensed Person or Institution: The technical and management-related matters to be adopted by the licensed person or institution while producing, importing, supplying and selling distributing iodized salt shall be as prescribed. 11. License May be Cancelled: (1) If a licensed person or institution fails to comply with the matters required to be adopted under Section 10 while producing, importing, supplying and selling distributing iodized salt, the Committee may issue necessary orders to such person or institution, fixing a specific period for compliance.

(2) If the licensed person or institution fails to comply with the order within the period fixed under subsection (1), the Committee may cancel the license of such person or institution.

(3) Before cancelling a license under subsection (2), the Committee shall give the concerned licensed person or institution a reasonable opportunity to submit its explanation.

(4) A person or institution aggrieved by the decision of the Committee to cancel the license under subsection (2) may file an appeal with the Ministry within thirty-five days. Chapter-3

Iodine Deficiency Disorders Elimination Committee

12.

Iodine Deficiency Disorders Elimination Committee: (1) For implementation in accordance with the policy and direction of the Government of Nepal, an Iodine Deficiency Disorders Elimination Committee shall be constituted with the following Chairperson and members:- (a) Secretary, Ministry of Health - Chairperson (b) Amended by the Some Nepal Acts Amendment Act, 2082. Representative (Special Class Gazetted), Ministry of Industry, Commerce and Supplies - Member (c) Deleted by the Some Nepal Acts Amendment Act, 2082 (d) Deleted by the Some Nepal Acts Amendment Act, 2082 (e) Representative (Special Class Gazetted), Ministry of Health - Member (f) Chief of the Central Food Research Laboratory - Member (g) Representative, Federation of Nepalese Chambers of Commerce and Industry - Member (h) Two persons nominated by the Government of Nepal from among persons or institutions engaged in the production, import, supply and sale distribution of iodized salt - Member (i) Two nutrition scientists nominated by the Government of Nepal - Member (j) One person on behalf of consumers - Member (k) An officer of the Ministry of Health designated by the Government of Nepal - Member-Secretary (2) The term of office of the members and Member-Secretary under clauses (h), (i), (j) and (k) shall be two years, and they may be re-nominated. (3) The Committee may invite experts as observers in its meetings. (4) The Government of Nepal may, by notification in the Nepal Gazette, increase, decrease or change the members of the Committee. (5) The Secretariat of the Committee shall be located at the Ministry of Health. (6) The budget required for the Committee shall be provided by the Government of Nepal. 13. Meeting of the Committee: (1) A meeting of the Committee shall be held at least four times a year. (2) The meeting of the Committee shall be held on the date, time and place fixed by the Chairperson. (3) If fifty percent of the members of the Committee are present, it shall be deemed to constitute a quorum for the meeting of the Committee. (4) Decisions at the meeting of the Committee shall be made on the basis of a majority of the members present. In case of a tie, the Chairperson shall cast the deciding vote. (5) The decision of the Committee shall be certified by the Member-Secretary. (6) Other procedures relating to the meeting of the Committee shall be as determined by the Committee itself. 14.

Functions, Duties and Powers of the Committee: In addition to other functions, duties and powers mentioned in this Act, the functions, duties and powers of the Committee shall be as follows:- (a) To grant approval as prescribed for labels and packages of iodized salt submitted by producers, importers, suppliers and distributors. (b) To coordinate work relating to the dissemination of information and educational materials concerning iodized salt. (c) To supervise and monitor as prescribed whether the provisions mentioned in this Act and the rules made under this Act are complied with. (d) To give necessary directions to the Inspector regarding investigation and prosecution against a person producing, importing, supplying and selling distributing iodized salt or salt not containing iodine contrary to the provisions mentioned in this Act and the rules made under this Act. Chapter-4 Provisions Relating to Quality Certification and Label Approval 15. Quality: (1) At the time of production, import, supply and sale distribution of iodized salt, the quality that iodized salt must have shall be as determined or recommended by the Committee. (2) The quality of iodized salt determined or recommended by the Committee under subsection (1) shall be published by the Government of Nepal in the Nepal Gazette. (3) The Central Food Research Laboratory shall have the authority to test whether the quality of iodized salt produced or imported in Nepal deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. conforms to the quality as mentioned in

subsection (1). (4) Iodized salt whose expiry date for maintaining the quality determined under subsection (1) has passed shall not be supplied to the market or sold or distributed or caused to be sold or distributed. (5) The method to be adopted by producers, importers, suppliers and distributors while packaging and transporting iodized salt to prevent deterioration, adulteration and contamination of the quality of iodized salt shall be as prescribed. 16.

Quality Certification: (1) Before selling distributing iodized salt through dealers in Nepal deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., the producer, importer or distributor shall have the quality certified by the Central Food Research Laboratory after testing. (2) For iodized salt produced or imported and already brought into sale before the commencement of this Act, the producer or supplier or distributor shall, within six months from the date of commencement of this Act, have the quality certified by the Central Food Research Laboratory after testing. (3) For the purpose of subsections (1) and (2), the producer, importer or distributor shall submit an application to the Central Food Research Laboratory in the prescribed format along with the prescribed fee and a sample of the iodized salt. (4) Upon receipt of the sample along with the application under subsection (3), the Central Food Research Laboratory shall test whether the salt conforms to the quality determined under Section 15, and if found to conform to the determined quality, it shall certify the quality of such product. 17. Approval of Label: (1) Before selling distributing iodized salt produced or imported in Nepal deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066., the producer or importer or distributor shall submit an application to the Committee for approval of the label of such salt in the prescribed format along with the prescribed fee. (2) For iodized salt already produced or imported within Nepal deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. before the commencement of this Act, the producer or importer or distributor shall have the label approved by the Committee within six months from the date of commencement of this Act. (3) The label shall be prepared by the producer, importer or distributor in such a manner as to provide necessary information and encouragement regarding the beneficial use of iodized salt. (4) The label shall contain the following information and messages printed indelibly in the Nepali language and, as necessary, in the English language, clearly and easily understandable:- (a) Logo as approved by the Committee, (b) Full name and address of the producer and the packer, (c) Net weight of the packed iodized salt, (d) Year and month of packing, (e) Iodine content (in P.P.M.), (f) Measures and techniques to be adopted to prevent the destruction, evaporation and loss of iodine mixed in iodized salt, (g) Expiry date for maintaining the quality of iodized salt, (h) Other details as prescribed. 18.

Appointment and Functions, Duties and Powers of Inspector: (1) To inspect and examine whether producers, importers, suppliers and distributors have complied with the provisions mentioned in this Act or the rules made under this Act, the Ministry may, on the recommendation of the Committee, appoint a necessary number of Inspectors, or designate employees serving in the Government of Nepal, with the consent of the concerned body, to work as Inspectors. (2) The qualifications required for an Inspector shall be as prescribed. (3) The Inspector shall conduct inspection and examination as prescribed regarding whether producers, importers, suppliers and distributors have complied with the provisions mentioned in this Act or the rules made under this Act, and submit a report thereof to the Committee. (4) Other functions, duties and powers of the Inspector, besides those mentioned in subsection (3), shall be as prescribed. Chapter-5 Responsibility of Information, Education and Health Institutions 19. Information and Education Regarding Iodized Salt: (1) The Ministry shall grant approval for the dissemination of useful information and educational materials relating to iodized salt that can be read, heard and seen. (2) The information and educational materials relating to iodized salt under subsection (1) shall be of a nature providing clear information on the following matters:- (a) The necessity and importance of iodized salt for human and animal health, (b) Benefits from the use of

iodized salt, (c) Effects on human and animal health from eating or feeding salt not containing iodine, (d) Difference in price between iodized salt and salt not containing iodine, (e) Measures to prevent the destruction, loss or evaporation of iodine mixed in iodized salt, and the techniques to be adopted for that purpose. (3) The information and educational materials under subsection (2) shall contain only correct and useful information and shall be of a nature that discourages the consumption of salt not containing iodine. 20. Responsibility of Health Institutions: (1) To encourage the general public in the use of iodized salt, the Ministry shall issue necessary orders and directions to health institutions to adopt necessary measures. (2) It shall be the duty of a health institution to comply with the orders and directions given by the Ministry under subsection (1). 21.

Permit, License or Authorization May be Suspended or Cancelled: (1) If, from a report submitted by the Inspector under subsection (3) of Section 18, it appears that a producer, importer, supplier or sale distributor has not complied with this Act or the rules made under this Act or with orders or directions given thereunder, the Ministry may, on the recommendation of the Committee, write to the concerned body to suspend or cancel the permit, license or authorization obtained from the Government of Nepal or any other body for carrying on the business or profession of such producer, importer, supplier or sale distributor. (2) If a letter is received under subsection (1), the concerned body shall also initiate necessary action towards suspending or cancelling such a permit, license or authorization. Chapter-6 Offense and Penalty 22. Deemed to Have Committed an Offense: The following acts shall be deemed to constitute an offense under this Act:- (a) Importing, purchasing or selling salt not containing iodine within deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. without the approval of the Committee under Section 3, (b) Producing, importing, supplying and selling distributing iodized salt in Nepal deleted by the Republic Strengthening and Some Nepal Laws Amendment Act, 2066. without obtaining a license under Section 4, (c) Producing, importing, supplying and selling distributing iodized salt not having the quality determined under Section 15, (d) Performing any other act contrary to this Act or the rules made under this Act, other than the acts mentioned in clauses (a), (b) and (c). 23. Penalty: The following penalty shall be imposed on a person committing an offense under the respective clause of Section 22:- (a) A person committing an offense under clauses (a), (b) and (c) shall be liable to confiscation of the proceeds and a fine equal to the proceeds or imprisonment for up to one year or both. (b) A person committing an offense contrary to clause (d) shall be liable to a fine of up to one thousand rupees, depending on the nature of the offense. Chapter-7 Miscellaneous 24. Liability of Institution: If an institution performs any act that constitutes an offense under this Act, the officer acting as the chief administrative officer of such institution shall be liable for the penalty. Provided that, in the case of an offense committed before a person became the chief administrative officer, such person shall not be liable for the penalty. 25.

Sub-Committee May be Formed: (1) For the implementation of the provisions mentioned in this Act and the rules made under this Act, the Committee may form Sub-Committees as necessary. (2) The functions, duties and powers and the procedure of a Sub-Committee formed under subsection (1) shall be as prescribed by the Committee. 26. Delegation of Powers: The Committee may delegate, as necessary, some of the powers vested in it under this Act to the Chairperson or any member of the Committee or to the coordinator or member of a Sub-Committee or to an officer employee. 27. Government to be Plaintiff: Cases under this Act shall be on behalf of the Government of Nepal. 28. Investigation and Diary of Case: (1) The Inspector shall investigate a case relating to an offense punishable under this Act, and after completion of such investigation, shall file the case in the District Court. (2) While investigating and filing a case under subsection (1), the Inspector shall obtain the opinion of the Government Attorney. 29. Power to Make Rules: The Government of Nepal may make necessary rules for the purpose of implementing the objectives of this Act.